



IN THE MIDST of a precarious global investment scene, climate-tech venture capital (VC) managed to beat the odds and delivered a whopping \$70.1 billion in investments in 2022, marking an impressive 89 per cent surge from the previous year, according to a report by HolonIQ, a global impact intelligence platform. Such investments are becoming popular in India, too. The country received as much as \$6.2 billion in investments in 2022—\$3.7 billion more than the \$2.5 billion in the previous year, according to the report. Well, it's no secret that most of these funds are directed towards big renewable energy infrastructure and storage projects, and mobility. But VC investment in pure-play early-stage climate-tech start-ups are still elusive—a mere whisper in the wind.

However, Mumbai-based VC Avaana Capital is a trailblazer in India's fledgeling climate-tech start-up scene, with its focus on climate action and sustainability. Since its inception in 2018, Avaana Capital has backed more than 20 early-stage start-ups working in fields related to climate and sustainability. For instance, it has invested \$3.5 million in FarMart, a software-as-a-service (SaaS)-

led business-to-business (B2B) food supply platform; \$1.5 million in Kota-based eekifoods that has developed a proprietary vegetable-growing technology to produce pesticide-free vegetables at *mandi* (wholesale) rates; led a \$5-million round in Terra.do, a global platform for climate skilling and careers; and participated in multiple rounds of funding in Turno that enables commercial electric vehicle (EV) distribution and financing.

"Climate is a theme. The underlying sectors in which we invest are energy transition, climate-resilient agriculture, mobility and supply chain. These sectors constitute 90 per cent of the emission footprint in India and 70 per cent of our economy. They're not just large problem areas, but also large market opportunities," says Anjali Bansal, Founding Partner of Avaana Capital.

She believes that India's climate-tech sector represents a huge, unexplored opportunity for VCs. Inspired by its maiden fund's 70 per cent focus on sustainability, Avaana sees the possibility for further expansion. Now, it has resolved to create a specialised fund entirely for climate and sustainability to capitalise on this emerging opportunity. "We are seeing global capital congregate around this space, but they are unsure where to invest their funds. Growth funds claim they don't have a pipeline, while ear-